

KEY AMENDMENTS TO MODEL CONCESSION AGREEMENT

Addressing risks during construction



Fixed payment mitigating dependence on toll



Termination payment to concessionaire in the event of default

Better protection against traffic deviation



There will be more frequent testing of target traffic



Higher cap on compensation in case of competing route

Clarity on disputable clauses



There is now a detailed calculation of termination payments



Introduction of new traffic measurement unit to align with revenues

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they soon fell into a debt trap owing to construction delays caused by the non-availability of land and necessary clearances, adding cost and time overruns, aggressive bidding, lower-than-estimated revenue, and weak balance sheet capacity.

Ind-Ra asserts that developers need to be mindful of aggressive bidding, taking projects beyond the appetite of their balance sheet, and overestimating toll revenue for greenfield projects. They must protect themselves from volatility.

PNC's Rao says the government cannot go for a larger number of BOT contracts until the mode becomes viable for construction companies. So, there has to still be a sizeable HAM mode also on offer.

Besides, the impact of the evol-



“...it may take four to five years before BOT could also be termed successful. This will certainly depend on how proactive NHAI will be in getting all the required clearances”

ANAND RATHI
CFO, GR INFRAPROJECTS LTD

ing infrastructure landscape—with competing roads and alternative modes of transportation (like dedicated freight corridors for freight and inland waterways)—on the BOT model remains to be seen. According to CareEdge, the introduction of the revised MCA under the BOT-Toll model is a welcome move; however, the extent of bidding aggression and on-ground enforcement of contractual clauses will remain key monitorables. Rathi says the major risk would be the non-availability of land, which would deprive the concessionaire of tolling rights for the entire stretch, which is not the case in HAM/EPC.

The increased focus on BOTs also comes as HAM projects are facing some headwinds. That's because banks have tightened capital requirements as smaller developers transitioned from EPC to HAM after technical and financial norms were relaxed. They're struggling now to secure financial closure after bidding aggressively.

It's visible in the increase in the number of projects that are awaiting the appointed date—or the date when the project finally starts—to 110. Of these, 55 projects were awarded in 2021 and 2022. That's a delay of 18–30 months in starting the construction, says an Ind-Ra report. “Projects with financially strong and medium sponsors have mainly been impacted by delays in land acquisition,” it notes.

For these and the other reasons laid out earlier, the government and NHAI will hope that the sweetened BOT model will bring the private players back. **BT**

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